TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

ABC News · Prime Minister's press conference
Friday 30 October 2026

Australia–EU free trade deal stalls in Parliament

> The government wants Parliament to pass a free trade agreement with the European Union that it says would remove tariffs on almost all Australian exports, but the Coalition's opposition means no vote this week.

WHAT HAPPENED

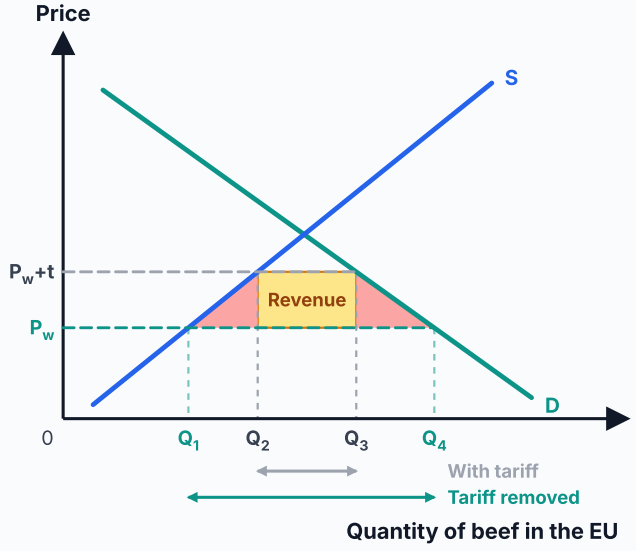
- The PM says the deal makes **98%** of Australian exports to the EU **tariff-free** into a market of **450 million** people and would add about **$10 billion** to the economy.
- Beef and sheepmeat access would rise to about **eight and four times** current levels, with a review after five years.
- The **Coalition** says it will not support the deal in its current form; the **Nationals** want better access for farmers. The Greens are leaning towards support.
- Agricultural **quotas** were also the sticking point that stalled negotiations in 2023, showing how hard farm trade is to liberalise.

Tariff: a tax on imports. **Tariff-rate quota:** a volume that can enter at a low tariff; imports above it pay a much higher rate. **Bilateral FTA:** an agreement between two parties to reduce trade barriers.

KEY NUMBERS

98% of exports tariff-free (PM)	**450m** people in the EU market
$10bn claimed boost to the economy	**8× / 4×** beef / sheepmeat access

DIAGRAM — What removing a tariff does in the EU beef market



Conceptual diagram, not to scale

With a tariff, EU buyers pay P_w**+t**. EU farmers supply up to Q_2, consumers buy Q_3, and imports are only Q_2**–**Q_3.

Removing the tariff lowers the price to P_w: consumption rises to Q_4, EU output falls to Q_1, and imports (room for Australian beef) widen to Q_1**–**Q_4. Tariff revenue and the deadweight losses (red) disappear, but EU farmers lose, which is why access is fiercely contested.

Exam angle: the same diagram explains **who wins and who loses** from protection: domestic producers and government gain; consumers and efficient foreign exporters lose.

FLOW CHART — How the deal would help exporters

EU cuts tariffs and lifts quotas → Australian beef cheaper in the EU → Export volumes rise → **Higher farm incomes and GDP (+$10bn claimed)**

SYLLABUS LINK

Topic 2 – trade agreements and trade policy affecting Australia.
Topic 1 – free trade vs protection; agricultural protectionism.

TRY THIS

Explain why agricultural market access is often the hardest part of negotiating a free trade agreement. **(4 marks)**

Assess the likely costs and benefits of the Australia–EU FTA for Australian producers and consumers. **(6 marks)**

Sources: ABC Politics blog, 29 Oct: abc.net.au/news/2026-10-29/federal-politics-live-blog-oct-29/107320104 · PM press conference, 29 Oct: miragenews.com/australian-prime-minister-press-conference-1768488/